coverage, in the manner suggested in the foregoing table, there would be no reason to apply both tests, since the passing of one would assure passing of the other. Such is not the case, however, and we must accordingly consider what is implied when the stock-value ratio gives a substantially different indication from that given by the interest coverage. Let us assume first that the earnings picture is not completely convincing but that the stock-value ratio is considerably higher than our minimum requirement.

*Example:* Referring to the Fairbanks-Morse example in Chap. 9, the investor would be impressed by the fact that at the lowest market price in 1938 the stock-equity ratio was more than 2 to 1 (about $12,000,000 market value of stock behind $5,600,000 of bonds). This evidence of strength might well dispel any doubt arising from the inadequacy of the straight ten-year average.

**Significance of a Subnormal Stock-Value Ratio.** The opposite case is that in which the interest coverage may be called satisfactory but the stock-value ratio is substantially below the minimum required.

*Examples:* The problem here may be better understood by the use of two contrasting examples, one taken in the midst of depression and the other at the peak of recovery.

The first example is that of Inland Steel 4½s, due 1978, which sold in September 1932 at 82, to yield 5.6%. The relevant data appear in the table on the following page, together with corresponding figures for Crucible Steel 5s, due 1940, which are supplied for comparison.

It will be seen that the Inland Steel issue met our earnings test (based on a 6½-year average) but failed to meet our stock-ratio test. Most investors would reason that the bond was a very sound and attractive investment at the time, because (1) Inland Steel was one of the best steel companies, with a fine predepression record; and (2) the 1932 figures, both for earnings and for stock prices, were so abnormal as to afford no guide to the safety of the bond issue. The fact that the company's earnings recovered later on and that the bonds were called at a premium in 1936 would be pointed to as confirming the soundness of this view.

But the weakness of the reasoning lies in the fact that it required certain assumptions as to the future which should not be needed to justify the purchase of an investment bond. (Note that under the conditions of 1932, the price of 82 for Inland Steel 4½s put them distinctly in the investment class.)